BOARD OF THE CBA

MINUTES
(26.06.2018)

On the Refinancing Rate

The CBA Board Meeting of June 26, 2018 attended by Chairman Arthur Javadyan, Deputy Chairman Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan and Arkady Khachatryan.

The Board meeting opened with presentation of the Situation Report as of June 26, 2018. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

It was recorded that the 12-month inflation in May 2018 continued to decline, reaching 1.6% by the end of the month. The decline was totally due to the fall in prices of food products. In particular, the prices of commodity groups such as “vegetables”, “dairy products, cheese and egg” and “meat products” decreased during the month by 15.2%, 1.7% and 0.9%, respectively, with their combined contribution of more than 1.0 pp to inflation. It is estimated that the fall in prices of agricultural products is largely driven by a shift in seasonality of crop, and the assumption is that the 12-month inflation rate will recover over the upcoming quarters, running within the lower part of the confidence band.

Addressing the current economic situation, the Board stated that economic activity reported in the second quarter of 2018 has exceeded expectations, mainly driven by high growths registered in the construction and services sectors. In the second quarter, the developments in domestic demand also surpassed the Central Bank’s expectations, which entirely owed to an unprecedented high growth in private investment amid a certain slowdown in private consumption growth, driven by slower trade turnover rates. Under these developments, the Board estimates that the impact of aggregate demand on prices has been smaller, as core inflation and inflation expectations followed a declining path during the quarter.

The Board also discussed the external sector developments: the world economic growth further trended up while the patterns in major commodity markets in the world proved more inflationary. Under these conditions, the central banks of the main partner countries are tightening monetary conditions, reflecting both the rise in interest rates in the financial market and the increase in emerging economies’ risk premium, which may eventually lead to additional inflationary risks. Given this, the Board believes that the effects expected of the external sector in the upcoming months remain inflationary.

The Board talked about the developments in the domestic financial market, stating that in May-June short-term interest rates behaved stably, shaping primarily around the policy rate of the Central Bank. In the meantime, mid- and long-term interest rates have shown little volatility along the yield curve of government bonds, and the average long-term interest rate remained almost unchanged.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. In view of the inflationary effect expectable from the external sector in the near future and the non-inflationary (relatively low private consumption and more contractionary fiscal policy) influence which prevails in the Armenian economy, the Central Bank's Board decided to leave the refinancing rate unchanged. At the same time, the Board still believes that, in light of predicted developments and existing risks, gradual elimination of monetary conditions will be needed **in the future** in fulfillment of the inflation target. As a result, **the 12-month inflation is expected to be maintained at a low level in the near future; in the second half of the year it will run within the lower part of the confidence band and will stabilize around the target in the medium run.**

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

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June 26, 2018

No. 107 A

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.

2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:

2.1 Lombard facility rate offered by the Central Bank to be 7.5%.

2.2. Deposit facility rate offered by the Central Bank to be 4.5%.

3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,

Chairman of the CBA

June 26, 2018

c. Yerevan

PRESS RELEASE
26.06.2018

At the June 26th of 2018 meeting, the Board of the Central Bank of Armenia (the CBA) decided to leave the refinancing rate unchanged, at the level of 6.0%.

There was 1.0% deflation in May of 2018 against that of 0.2% reported in the same month of the previous year, and the 12-month inflation rate continued reducing, amounting to 1.6% at the end of the month. The shaping of low inflation environment owed primarily to the decline in seasonal prices as a result of early seasonality. At the same time, core inflation was also somewhat lower from the Central Bank expectations.

In the external sector, trends for improving global economic growth continued while developments in the international commodity markets are slightly more inflationary than anticipated. The acceleration of inflation in principal trade partner countries and other partner countries also determines the current and expected tightening of monetary conditions, which has been reflected in the increase in emerging country risks and raising interest rates. In view of such developments, the Board of the Central Bank anticipates some more inflation risks from the external sector.

The Board notes that economic activity in the second quarter of 2018 was higher than anticipated, driven by a high productivity growth reported in construction and services sectors. On the demand side, it is mainly expressed by high growth rates of investments, whereas the growth of private consumption was relatively low amid the slowdown in growth rates of money transfers from abroad. In this case, the Board considers that the impact of aggregate demand on inflation has been weaker than expected. The latter was reflected in shaping lower levels of both core inflation and inflationary expectations.

Taking the abovementioned into account, as well as the fiscal policy's more-than-expected contractionary impact on the economy, the Board of the Central Bank finds it appropriate that current monetary conditions will be maintained, leaving the refinancing rate unchanged on the back of rising world interest rates. In the meantime, the current low inflation environment notwithstanding, the Board reckons that a gradual offsetting of expansionary monetary conditions in the mid-term will be needed in fulfillment of the inflation target. As a result, the expectation is that inflation will still remain low in the coming months, shaping within the confidence band in the second half of the year and stabilizing around the 4% target in the medium run.
Should the risks to economic growth outlook and to the inflation deviating from its recovery path materialize, the Central Bank will adjust the monetary policy directions accordingly, while ensuring the price stability.

Detailed information that underlies the decision on setting of the interest rate will be available in Press Release (Minutes on Interest Rate), to be published by July 10, 2018.

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Press Service of the Central Bank of Armenia